



RRSP/RRIF

Sometimes the government can strike without warning

You may have a substantial tax liability growing and not even know it.

Here's the problem

Registered Retirement Savings Plans (RRSPs), Registered Retirement Income Funds (RRIFs) and other registered plans are a main source of retirement income for many Canadians. But what happens to your registered funds when you die?

Registered funds can be passed to your spouse tax-free when you die. If you pass these funds to someone else, this will not occur tax-free. The Canada Revenue Agency (CRA) will include in your income the value of your registered funds at death. This means that a significant portion will be lost to tax – certainly a negative impact on the size of your estate.

What are your options?

There are a number of different ways to ensure that sufficient funds are available to pay this future tax liability.

These may include:

- setting aside money today
- having the executor of your estate borrow the funds required
- liquidating some of your registered funds
- purchasing a permanent life insurance policy.

Which is the best alternative?

Life insurance ensures that funds are available to pay the tax liability. It also helps preserve your estate, increasing the benefit to your heirs.

And by planning today, insurance lowers the cost of solving this problem in the future.

Are you a candidate?

If you answer yes to the following questions, you might consider permanent life insurance to solve your future tax liability:

- Are you in good health?
- Do you own registered funds?
- Are you in a high tax bracket?
- Do you wish to increase the size of your estate?
- Do you desire a low-cost solution?

Here's why life insurance is the affordable solution to pay the tax liability

John and Nancy have \$740,000 of registered funds. They intend to continue contributing to their RRSPs and eventually roll them to a RRIF and start receiving retirement income. They do not expect to use all of these funds in their lifetime. They want their children to get the amount remaining after the second spouse dies.

On the assumption that Nancy will outlive John, when she's 90, the balance of the RRIF will be approximately \$725,000. Assuming a 45% tax rate, these registered funds will trigger a tax liability of \$325,000 upon second death. This will significantly reduce the amount of funds available to their children. What should John and Nancy do to ensure that their children receive the full \$725,000?

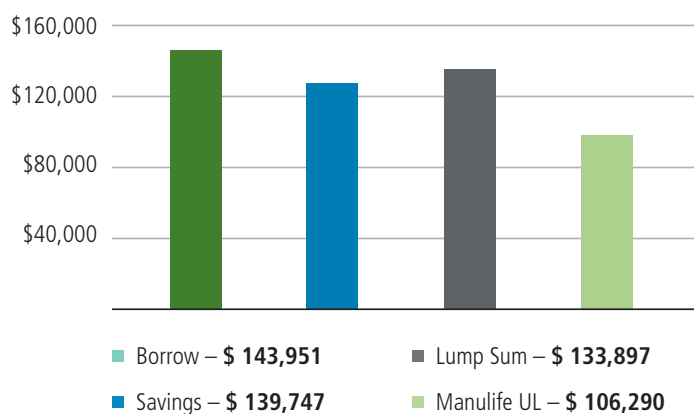
The Assumptions

Personal information	John – male, 62, non-smoker Nancy – female, 60, non-smoker
Funds required at death to pay tax	325,000
Life insurance product	Manulife UL Joint last-to-die
Life expectancy assumption (second death)	Nancy – age 90

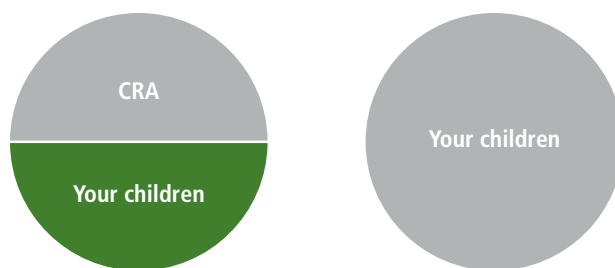
The Alternatives

1. Start saving today – interest-bearing investment @ 5%
2. Borrow the funds – 6% loan rate, 5-year amortization period, semi-annual compounding
3. Lump Sum Payment
4. Manulife UL – Minimum annual premiums paid for life, 0.0% interest rate

Comparing the cost of each alternative using discounted dollars at 3%.



How do you want your registered funds distributed?



The choice is yours!

